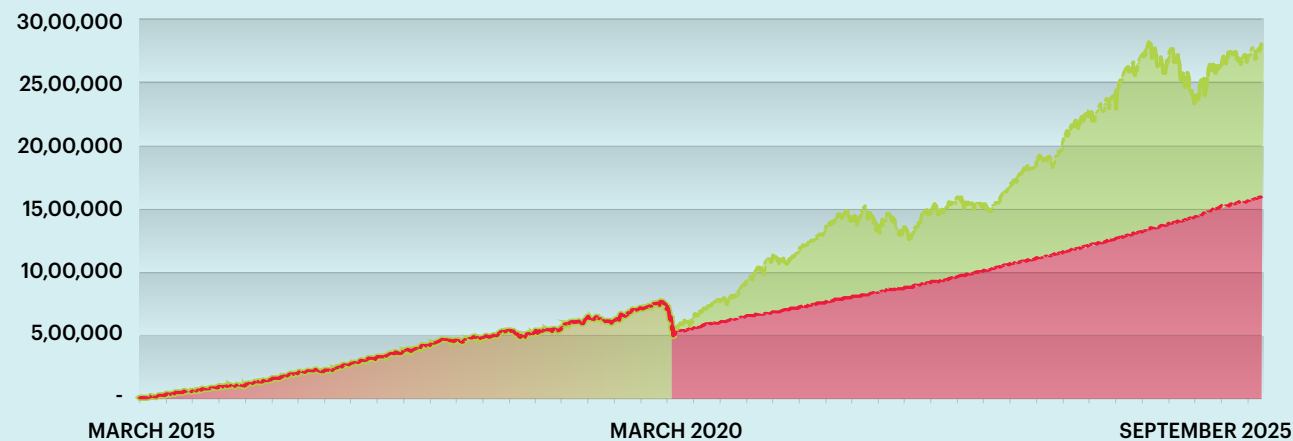


LESSON 1: DON'T STOP SIPs

• SIP returns for those who stayed invested vs those who pulled out during Covid crash (for someone who started a ₹10,000 SIP five years before the crash)



	Stayed Invested in flexi-cap fund	Shifted to debt
Return	14.08%	4.08%
Corpus Value	₹28,06,908	₹15,96,715

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incomes, improving infrastructure, and sensible regulation.

SCOREBOARD VS PLAYING FIELD

Yet investors obsess over the scoreboard instead of the playing field. They watch their mutual fund values daily, often hourly, creating exactly the kind of rapid feedback loop that leads to terrible decisions. Markets give you minute-to-minute valuations, but as Buffett noted about his farm, you never see a daily quote for productive assets. Imagine if farmers checked grain prices every hour and made planting decisions based on today's volatility. Nothing would get planted.

The beauty of the mutual fund structure, when used correctly, is that it separates the decision to invest from the noise of daily pricing. You decide once—based on your goals, time horizon, and risk capacity. Then you execute through SIPs. The market's daily drama becomes irrelevant because you're not trying to outsmart it. You're trying to harness it.

This distinction matters a lot. More Indian wealth

THE BEAUTY OF THE MUTUAL FUND STRUCTURE, WHEN USED CORRECTLY, IS THAT IT SEPARATES THE DECISION TO INVEST FROM THE NOISE

is lost to impatience than to bear markets. The data is clear on this point, but the stories are even more compelling. Every market correction produces hundreds of tales of investors who sold at the bottom, swearing never to return to equities. Every bull market peak produces equally tragic stories of investors who piled in, convinced this time was different (see *Reality Check: The Equity Rollercoaster*)